

UTILITY & WATER-SUPPLY RECEIVABLES · WHITE PAPER

Customer-Focused Utility Collections

How diplomatic, consumer-friendly recovery strategies save utilities money long-term

The shift toward customer-focused debt collection isn't just about ethics — **it's about economics**. For a utility, and especially a member-owned one, the customers behind on a bill are also the community the board answers to. The evidence from two decades of utility recovery work points one way: empathetic, compliant, customer-focused programs collect more, cost less to run, and protect the relationships and reputation an aggressive approach quietly destroys. This paper — adapted from an article by Southwest Recovery founder and CEO Steven Dietz — lays out the hidden costs of the old way, the evidence for the customer-focused way, and the specific strategies that deliver the savings.

Key takeaways

- Customer-focused strategies **increase recovery rates** while reducing operational costs and compliance violations.
- Traditional aggressive methods carry **hidden costs** — customer churn, low recovery rates, and compliance fines — that compound over time.
- Flexible payment options and empathetic communication **preserve relationships**, producing higher long-term returns.
- Data-driven segmentation and automated reminders **optimize resources** and prevent escalation.
- Coordinated effort across customer service, analytics and billing **maximizes effectiveness** and eliminates conflicting contact.

The hidden costs of aggressive collections

Hard-line tactics look decisive and produce a *false economy* — short-term recoveries that mask substantial hidden costs compounding underneath:

HIDDEN COST	HOW IT COMPOUNDS
Compliance violations	FDCPA and TCPA violations run \$500–\$1,500 per violation , with class actions far higher. Harsh tactics drive complaints, complaints drive legal exposure — and the penalties can exceed the value of the debt being chased.
Customer churn	A customer driven away permanently takes a long-term revenue stream with them — worth far more than the single balance collected. Replacing them costs marketing dollars and trust that takes years to rebuild.

HIDDEN COST	HOW IT COMPOUNDS
Lower recovery rates	Paradoxically, aggressive tactics often collect less : debtors who feel threatened or disrespected stop cooperating and avoid contact entirely — driving up staff time, contact costs and administrative expense per account.
Reputational damage	For a member-owned utility this is the sharpest cost of all: how your collection partner behaves reflects directly on the board, at every community meeting.

The evidence for the customer-focused approach

In two decades of recovery work, empathetic approaches have consistently outperformed aggressive tactics in both recovery rates and customer satisfaction. Three mechanisms drive it:

- **Flexible payment options increase recovery.** Most debtors want to resolve their balance but need accommodation. Installments and realistic arrangements reduce complete defaults, keep former customers engaged, and shorten resolution times.
- **Empathetic communication preserves relationships.** Treating the person on the other end with respect turns collection from adversarial to collaborative — and preserved relationships lead to voluntary compliance, faster resolution and lower overall cost.
- **Data-driven segmentation optimizes resources.** A reliable payer who slipped once needs a reminder; a higher-risk account needs proactive, tailored intervention. Segmenting by balance, age and payment history puts effort where it pays and stops over-contacting everyone else.

Proven strategies that deliver measurable savings

STRATEGY	WHERE THE SAVINGS COME FROM
Automated, personalized reminders	SMS, email and phone reminders significantly reduce late payments with minimal staff effort — early intervention keeps minor delays from becoming major collection problems.
Proactive communication	Monitoring payment patterns and addressing early warning signs while a problem is still small shrinks the pool of accounts that ever need intensive effort.
Coordinated, consistent contact	When billing, customer service and recovery work from one playbook, customers get consistent messages, conflicting contact disappears, and resolution rates rise while redundant effort falls.
Trained, solution-oriented staff	Collectors trained in empathetic communication and active listening handle hard conversations professionally — improving cooperation and resolution rates.
Compliance embedded, not bolted on	FDCPA / TCPA / consumer-protection protocols built into every step — with auditing and technology safeguards — prevent violations before they happen and the fines that follow them.

What this means for a member-owned water supply corporation

Your delinquent finals belong to people who were — and whose families may still be — part of your community. A customer-focused recovery program is the version of collections a board can approve and defend: it recovers more of the money the remaining members are absorbing, at zero upfront cost on contingency, without a single tactic that embarrasses the name on the water tower. Diplomatic isn't the soft option. It's the profitable one.

The long-term profitability case

The evidence overwhelmingly supports customer-focused collection as the most profitable long-term strategy. Organizations that implement it report higher recovery rates, reduced operational costs, and stronger relationships that keep generating value. The mechanism is simple arithmetic:

- **More collected:** cooperative debtors resolve balances that threatened ones never would.
- **Less spent:** prevention, automation and segmentation cut the cost per recovered dollar.
- **Fines avoided:** embedded compliance eliminates a \$500–\$1,500-per-violation risk category.
- **Relationships kept:** respectful treatment leaves the door open — a former member treated fairly can be a member again, and their neighbors hear how it went either way.

There is an upfront investment — systems, training, process — but the long-term savings and revenue benefits far exceed the cost. That is the whole argument: **customer-focused collections aren't the compromise between recovery and reputation. They're how you get both.**

Putting it into practice

Customer-focused collection isn't a slogan — it's infrastructure. Three components make it real, and a utility gets all three by choosing a partner that has already built them:

COMPONENT	WHAT IT LOOKS LIKE IN OPERATION
Integrated payment & analytics platform	Multiple ways to pay, every interaction tracked, and patterns analyzed to improve strategy — with contact timing, frequency and tone adjusted to how each customer actually responds, maximizing engagement while respecting boundaries.
People trained for the hard conversation	Collectors trained in empathetic communication, active listening and solution-oriented problem-solving — professionals who protect the long-term relationship while resolving the balance, and who stay in the role longer because the work is built to be done respectfully.
Compliance as architecture	FDCPA, TCPA and consumer-protection requirements embedded from first contact to final resolution — regular audits, continuous staff education, and technology safeguards that stop violations before they happen instead of paying for them afterward.

For a water supply corporation, adoption is deliberately light-lift: the delinquent-finals export from the billing system becomes the placement file, the office keeps its existing workflow, recovery runs on pure contingency so

nothing touches the budget, and the board sees live reporting whenever it meets. The customer-focused program — the platform, the trained people, the embedded compliance — comes with the partner, not the payroll.

About Southwest Recovery Services

Southwest Recovery Services recovers utility receivables — water and wastewater (for municipal and private providers alike, including member-owned water supply corporations), electric, gas, telecommunications and waste services — on pure contingency since 2004, growing from one Texas office to 12 offices across 7 states. Residential accounts are worked under the FDCPA, TCPA and CFPB Regulation F with the customer-focused approach this paper describes; qualifying accounts are furnished to the major credit bureaus under the FCRA. Over two decades we have placed more than \$975M in receivables, recovered over \$76M for clients, and worked 800,000+ accounts nationwide — with no upfront fee, no retainer and no minimum. Southwest Recovery is an ACA International member with a clean compliance record since 2004.

Recovery your board can approve — and defend.

A short call to walk your delinquent finals, see the customer-focused program in practice, and put a contingency rate against a representative sample — no upfront fee, no retainer, no minimum.

Call **(866) 551-4684** · sdietz@swrecovery.com · swrecovery.com

Provided for general informational purposes; not legal advice. Consumer-protection and credit-reporting rules vary by state — confirm current requirements with counsel. Figures are illustrative and vary by portfolio, account age and documentation. Southwest Recovery Services does not collect consumer debt in California, Oregon or Washington. Adapted from “How Customer-Focused Utility Debt Collections Strategies Save Money Long Term” by Steven Dietz, swrecovery.com.